

Federal Land Bank Bonds. A somewhat different aspect of the joint and several guarantee appears in the important case of the Federal Land Bank bonds, which are secured by deposit of farm mortgages. The obligations of each of the 12 separate banks are guaranteed by the 11 others, so that each Federal Land Bank bond is in reality a liability of the entire system. When these banks were organized, there was created concurrently a group of Joint Stock Land Banks which also issued bonds, but the obligations of one Joint Stock Bank were not guaranteed by the others.¹³ Both sets of land banks were under United States government supervision and the bonds of both were made exempt from federal taxation. Practically all of the stock of the Federal Land Banks was subscribed for originally by the United States government (which, however, did not assume liability for their bonds); the Joint Stock Land Bank shares were privately owned.

At the inception of this dual system, investors were disposed to consider the federal supervision and tax exemption as a virtual guarantee of the safety of the *Joint Stock* Land Bank bonds, and they were therefore willing to buy them at a yield only $1/2\%$ higher than that returned by the *Federal* Land Bank bonds. In comparing the nonguaranteed Joint Stock bonds with the mutually guaranteed federal bonds, the following observations might well have been made:

1. Assuming the complete success of the farm-loan system, the guarantee would be superfluous, since each bond issue separately would have enjoyed ample protection.
2. Assuming complete failure of the system, the guarantee would prove worthless, since all the banks would be equally insolvent.
3. For any intermediate stage between these two extremes, the joint and several guarantee might prove extremely valuable. This would be particularly true as to bonds of a farm-loan district subjected to extremely adverse conditions of a *local* character.

¹³ The word "Joint" in the title referred to the ownership of the stock by various interests, but it may have created an unfortunate impression among investors that there was a joint responsibility by the group of banks for the liabilities of each. For a comprehensive account and criticism of these banks, see Carl H. Schwartz, "Financial Study of the Joint Stock Land Banks," Washington, D. C., 1938.